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Registration Number: NAIH/4410-1/2023
Subject: Decision and Procedural Fine
Background: Request for waiver of NAIH/2866/2022
Case Officer: (...)
Dismissal Order

The National Authority for Data Protection and Freedom of Information (hereinafter: Authority) in its official data protection authority procedure initiated ex officio regarding the data processing related to the cameras operated by (...) (headquarters: (...), hereinafter: "Client" or "Company") at the (...) tanning studio (hereinafter: location) examines compliance with the protection of natural persons in relation to the processing of personal data and the free movement of such data, as well as the repeal of Directive 95/46/EC, under Regulation (EU) 2016/679 (hereinafter: "GDPR" or "General Data Protection Regulation") and makes the following decisions.

1.
The Authority establishes in its decision that the examined data processing violated
1.1. Article 6(1) of the GDPR;
1.2. Articles 13(1)-(2) of the GDPR.
and due to the violations established above, the Company is held liable.
There is no administrative remedy against the decision, but it can be contested in an administrative lawsuit with a petition addressed to the Metropolitan Court within 30 days from the notification. The petition must be submitted electronically to the Authority, which will forward it along with the case documents to the court. A hearing can be requested in the petition. For those not fully exempt from personal fees, the administrative lawsuit fee is HUF 30,000, and the case is subject to the right of fee exemption. Legal representation is mandatory in the proceedings before the Metropolitan Court.

2.
In its order, the Authority rejects the Company's request for waiver or reduction of the procedural fine and simultaneously instructs the Company to pay the procedural fine of HUF 50,000 (fifty thousand forints) imposed in the order with case number NAIH/2866-3/2022 without delay, but no later than within 15 working days from the receipt of this order.

There is no administrative remedy against the order, but it can be contested in an administrative lawsuit with a petition addressed to the Metropolitan Court within 30 days from the notification. The petition must be submitted electronically to the Authority, which will forward it along with the case documents to the court. A hearing can be requested in the petition. For those not fully exempt from personal fees, the administrative lawsuit fee is HUF 30,000, and the case is subject to the right of fee exemption. Legal representation is mandatory in the proceedings before the Metropolitan Court.

Regarding point 2 above (procedural fine), the Authority provides the following information:

The fine must be paid by bank transfer to the Authority's centralized revenue collection account (10032000-01040425-00000000 Centralized Collection Account IBAN: HU83 1003 2000 0104 0425 0000 0000). When transferring the amount, reference must be made to NAIH-4410/2023 FINE number.

2

The fine must be paid in the forms of payment listed in Section 28 a) aa) (transfer), b) bb) (cash

deposit to a payment account), and c) (payment methods without a payment account, particularly cash transfer) of the 35/2017 (XII. 14.) MNB regulation on the conduct of monetary transactions. The provisions of Chapter VI of the same regulation shall apply to the fulfillment of the obligation, with the exception that there is no possibility to pay the fine amount within the Authority's building.

If the Company fails to meet its obligation to pay the fine by the deadline, it is required to pay a late fee. The amount of the late fee is the statutory interest, which corresponds to the central bank base rate valid on the first day of the calendar half-year affected by the delay. The late fee must be paid to the Authority's centralized revenue collection account (10032000-01040425-00000000 Centralized Collection Account).

If the Company does not fulfill its obligation to pay the procedural fine within the above deadline, the Authority will order the collection of the fine and the late fee and will turn to the tax authority for enforcement.

JUSTIFICATION

I. Facts

(1) On January 10, 2019, a notification was received by the Authority, in which the notifier objected to the data processing conducted by the Company using cameras installed at the above location. Considering that the facts could not be revealed in the investigation initiated based on this, the Authority initiated an official procedure ex officio on October 11, 2021 (NAIH/7643-1/2022). The decision with case number NAIH/7643-1/2022 was received by the Company on October 18, 2021. The 15-day deadline set for responding expired on November 2, 2021, but the Company only mailed its response on November 4, 2021, and the correspondence was received by the Authority on November 8, 2021.

(2) According to the Company's statement with case number NAIH/7643-2/2021, the Company conducted camera surveillance at the location based on the legitimate interest legal basis under Article 6(1)(f) of the GDPR for the protection of life, physical integrity, personal freedom, and for property protection purposes. The Company attached snapshots showing the field of view of the 4 cameras to its response. Based on these, one of the cameras was directed at one of the Company's workstations, one monitored the external entrance and, in connection with that, partially the public area, and two others were directed at the internal areas opened for customer traffic in the solarium. Based on the camera images submitted by the Company, there was no masking set up to cover irrelevant areas for the purpose of surveillance or to filter the observed part with IT tools (hereinafter: masking). The fields of view of the camera system were also presented by the Company on a site plan.

From the camera images and site plan submitted by the Company, it could be established that some tanning machines and the doors leading to the standing tanning booths were partially included in the fields of view. According to the Company, paper-based data processing information could be requested by solarium customers from the person working at the reception desk; the employees were informed verbally and in job descriptions, according to the Company, but it did not substantiate these claims with evidence. However, based on the photographs submitted by the Company, warning stickers regarding the fact of camera data processing were placed outside the entrance door and also within the premises of the location.

3

(3) In light of the Company's response, further clarification of the facts became necessary; therefore, the Authority, by its order with case number NAIH/2866-1/2022, once again contacted the Company by mail with its questions. The Authority set a deadline of 15 days from the receipt of the order for the Company to respond. According to the delivery confirmation from Magyar Posta Zrt., the Company received the Authority's order with case number NAIH/2866-1/2022 on February 21, 2022, thus the deadline for response fell on March 8, 2022. The Company's response to the Authority was received by mail on March 28, 2022.

(4) In its response with case number NAIH/2866-2/2022, the Company informed the Authority that it no

longer operates a tanning salon at the specified address, nor does it conduct any other activities there. Additionally, it stated in its response that the Company does not have a website. The Company's response did not contain any further information. The Company did not attach any annex to its response. The Company did not provide answers to the questions posed in the referenced order, and despite the Authority's request, the Company did not present the balancing test, nor did it declare that it possessed such a document. The Company's response did not contain any statement or evidence that it had ceased the camera data processing or that the camera system had been dismantled.

(5) On the day of receiving the response, the Authority requested the Company's company extract, which still listed (...) as the Company's premises, thus at the time of the response, it was the location associated with the Company's business activities as stated in the founding document.

(6) In light of the above, the Authority, in its order with case number NAIH/2866-3/2022, imposed a procedural fine and again called upon the Company to clarify the facts. The Company received the order on April 26, 2022, according to the relevant delivery confirmation, but only responded on June 2, 2022.

(7) In its response with case number NAIH/2866-4/2022, the Company stated that it does not operate any business at the referenced premises, nor does it use it for any other activities. According to its statement, the same situation applies to the multiple premises listed in its company extract, as it only actually uses one of the premises indicated. It claimed that the cameras previously operated at the premises have already been dismantled and removed from the property. It stated that due to personal tragedy, health issues, and financial difficulties, it is unable to fulfill its administrative burdens, including the necessary company procedures, on a permanent basis. In light of this, it requested a reduction or waiver of the procedural fine. The relevant statement did not contain any attached evidence or annex, and despite the Authority's request, the Company did not present the balancing test, nor did it declare that it possessed such a document.

II. Applicable Legal Provisions

(8) According to Section 2 (2) of the Infotv., the General Data Protection Regulation (GDPR) shall be applied to data processing falling under its scope with the supplementary provisions specified therein.

(9) Based on Section 60 (1) of the Infotv., in order to ensure the enforcement of the right to the protection of personal data, the Authority may initiate a data protection authority procedure ex officio.

(10) In the absence of any differing provisions in the General Data Protection Regulation, the data protection authority procedure initiated upon request shall be governed by the provisions of Act CL of 2016 on General Administrative Procedure.

4

The provisions of Act CL. (hereinafter: Ákr.) shall be applied with the deviations defined in the Infotv.

(11) In official procedures, the provisions of the Ákr. concerning procedures initiated upon request shall be applied with the deviations set forth in Sections 103-104 of this law.

(12) According to Article 4(1) of the GDPR, "personal data" means any information relating to an identified or identifiable natural person ("data subject"); an identifiable natural person is one who can be identified, directly or indirectly, in particular by reference to an identifier such as a name, an identification number, location data, an online identifier, or to one or more factors specific to the physical, physiological, genetic, mental, economic, cultural, or social identity of that natural person.

(13) According to Article 4(2) of the GDPR, "processing" means any operation or set of operations which is performed on personal data or on sets of personal data, whether or not by automated means, such as collection, recording, organization, structuring, storage, adaptation or alteration, retrieval, consultation, use, disclosure by transmission, dissemination or otherwise making available, alignment or combination, restriction, erasure, or destruction.

(14) According to Article 6(1) of the GDPR:

The processing of personal data shall be lawful only if and to the extent that at least one of the

following applies:

- a) the data subject has given consent to the processing of his or her personal data for one or more specific purposes;
- b) the processing is necessary for the performance of a contract to which the data subject is party or in order to take steps at the request of the data subject prior to entering into a contract;
- c) the processing is necessary for compliance with a legal obligation to which the controller is subject;
- d) the processing is necessary in order to protect the vital interests of the data subject or of another natural person;
- e) the processing is necessary for the performance of a task carried out in the public interest or in the exercise of official authority vested in the controller;
- f) the processing is necessary for the purposes of the legitimate interests pursued by the controller or by a third party, except where such interests are overridden by the interests or fundamental rights and freedoms of the data subject which require protection of personal data, in particular if the data subject is a child.

Point (f) of the first subparagraph shall not apply to processing carried out by public authorities in the performance of their tasks.

(15) According to Articles 13(1)-(2) of the GDPR:

(1) Where personal data are collected from the data subject, the controller shall provide the data subject with the following information at the time of obtaining the personal data:

- a) the identity and contact details of the controller and, where applicable, of the controller's representative;
- b) the contact details of the data protection officer, where applicable;
- c) the purposes of the processing for which the personal data are intended as well as the legal basis for the processing;
- d) where the processing is based on point (f) of Article 6(1), the legitimate interests pursued by the controller or by a third party;
- e) where applicable, the recipients of the personal data or categories of recipients;
- f) where applicable, the fact that the controller intends to transfer personal data to a third country or international organization, as well as the Commission

5

the existence or absence of a compliance decision, or in the case of data transfers mentioned in Article 46, Article 47, or the second subparagraph of Article 49(1), the specification of appropriate and suitable safeguards, as well as references to the means of obtaining copies of those safeguards or their availability.

(2) In addition to the information mentioned in paragraph (1), the data controller shall inform the data subject of the following supplementary information at the time of obtaining personal data, in order to ensure fair and transparent data processing:

- a) the duration of storage of personal data, or if that is not possible, the criteria used to determine that duration;
- b) the data subject's right to request access to their personal data from the data controller, to request rectification, erasure, or restriction of processing of their personal data, and to object to such processing, as well as the right to data portability;
- c) in the case of processing based on point (a) of Article 6(1) or point (a) of Article 9(2), the right to withdraw consent at any time, without affecting the lawfulness of processing based on consent before its withdrawal;
- d) the right to lodge a complaint with a supervisory authority;
- e) whether the provision of personal data is based on a legal obligation or a contractual requirement, or is a prerequisite for entering into a contract, as well as whether the data subject is obliged to provide the personal data and the possible consequences of failing to provide such data;
- f) the fact of automated decision-making as referred to in Article 22(1) and (4), including profiling, as well as at least understandable information about the logic involved and the significance and the expected consequences of such processing for the data subject.

(16) According to point (b) of paragraph (2) of Article 58 of the GDPR, the supervisory authority shall take corrective action against the data controller or the processor if their data processing activities violate the provisions of this regulation.

III. Decision

(17) III.1. In the case of camera surveillance data processing, the data controller's legitimate interest is typically the legal basis applied. The conceptual element of legitimate interest is the data controller's obligation to conduct a balancing test. The data controller is required to carry out a prior, written interest balancing test in order to rely on this legal basis. The legitimate interest legal basis can be applied by the data controller only if the outcome of the balancing test supports its application (thus, the mere existence of the balancing test is not sufficient). The balancing test is based on the identification and weighing of different interests. This includes examining the necessity-proportionality question and the reasonable expectations of the data subjects. In weighing these, it must be considered that the interests of the data subjects may take precedence over the interests of the data controller, and it must also be assessed whether the data subjects could reasonably expect that the data controller would process their data for the specified purpose at the beginning of the processing.

1 GDPR Article 6(1)(f): The processing of personal data is lawful only if and to the extent that at least one of the following applies:

f) processing is necessary for the purposes of the legitimate interests pursued by the data controller or by a third party, except where such interests are overridden by the interests or fundamental rights and freedoms of the data subject which require protection of personal data, in particular if the data subject is a child. The first subparagraph (f) does not apply to processing carried out by public authorities in the performance of their tasks.

6

(18) Despite multiple requests from the Authority, the Company did not present such a legitimate interest balancing test, thus it cannot lawfully rely on the legal basis of legitimate interest.

(19) Moreover, even if the data processing had been conducted in the established manner alongside the submission of a legitimate interest balancing test, it would not have been supported by a legal basis of legitimate interest. Based on the photographs and floor plan submitted by the Company, the camera observing the entrance door also partially monitored public space. The employee and their workstation were under continuous surveillance, with the camera's field of view partially extending to a lying tanning bed. Several of the internal cameras captured, either partially or entirely, one of the tanning machines or the door leading to the standing tanning beds. The affected individuals using the service could not effectively avoid these cameras, and masking was not set up for them.

(20) Regarding the questioned cameras, neither the suitability for achieving the data processing purpose—presumably asset protection—nor the proportionality was justified. Particularly from an asset protection perspective, other available solutions (such as locks, padlocks, window bars, safes, alarms, motion detectors, security guards, etc.) could provide greater security in certain cases than camera-based data processing. In terms of the purpose of data processing, in the absence of a legitimate interest balancing test, it is neither substantiated nor likely that the camera system was the most effective solution among the available options and also the one that least burdens the privacy of the affected individuals.

(21) According to the Company's statement, the data processing information could only be made available to the affected individuals using the service on-site, in paper form, upon explicit request, thus adequate information regarding the data processing was not accessible to them. The Company also did not substantiate the provision of such information to employees; according to its statement, this was done through verbal information or information included in job descriptions, but it did not support its claims with evidence.

(22) Based on the above, the Authority established a violation of Article 6(1) and Article 13(1)-(2) of the GDPR and decided according to the provisions set out in the operative part (decision) based on Article

58(2)(b) of the GDPR.

(23) According to the Company's statement, it has ceased the examined data processing and dismantled the devices at its premises.

(24) III.2. Clarifying the circumstances of data processing was not possible in the investigation procedure; therefore, the Authority decided to initiate an official authority procedure ex officio. Nevertheless, in the ex officio initiated authority procedure, the Company's statements were incomplete and delayed. Considering these circumstances, a procedural fine was imposed on the Company, and thus the Authority decided, as stated in the operative part (order), to reject the Company's request for the waiver or reduction of the procedural fine.

IV. Other Issues

(25) According to Section 112(1) and (2)(d) and Section 116(1) and (3), as well as Section 114(1) of the Administrative Procedure Act, both the decision and the order are subject to judicial review through administrative litigation.

(26) The rules of administrative litigation are determined by Act I of 2017 on Administrative Litigation (hereinafter: Kp.). According to Section 12(1) of the Kp., administrative litigation against the Authority's decision falls under the jurisdiction of the court, and based on Section 13(3)(a)(aa) of the Kp., the Metropolitan Court is exclusively competent for the litigation. According to Section 27(1)(b) of the Kp., legal representation is mandatory in cases falling under the jurisdiction of the court. According to Section 39(6) of the Kp., unless otherwise provided by law, the submission of the statement of claim does not have a suspensive effect on the validity of the administrative act.

(27) According to Section 29(1) of the Kp. and in consideration of this, Section 604 of Act CXXX of 2016 on Civil Procedure (hereinafter: Pp.) applies, and according to Section 9(1)(b) of Act CCXXII of 2015 on Electronic Administration and General Rules of Trust Services (hereinafter: E-ügyintézési tv.), the client's legal representative is obliged to maintain electronic communication.

(28) The time and place for submitting the statement of claim are determined by Section 39(1) of the Kp. Information on simplified litigation is based on Sections 77(1)-(2) and 124(1), (2)(c), and (5) of the Kp. The amount of the administrative litigation fee is determined by Section 45/A(1) of Act XCIII of 1990 on Fees (hereinafter: Itv.). The Itv. provides an exemption from the advance payment of the fee for the initiating party under Section 59(1) and Section 62(1)(h).

(29) According to Section 38(2) of the Infotv., the Authority's task is to monitor and promote the enforcement of the right to the protection of personal data, as well as the right to access public interest and publicly available data, and to facilitate the free movement of personal data within the European Union. According to Section 38(2a), the tasks and powers assigned to the supervisory authority in the General Data Protection Regulation are exercised by the Authority in accordance with the provisions of the General Data Protection Regulation and this law concerning entities under the jurisdiction of Hungary. The Authority's jurisdiction extends throughout the entire territory of the country.

Dated: Budapest, according to the electronic signature

Dr. habil. Attila Péterfalvi

President

University Professor